LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is M&A Funding in reference to Additional Specialized Financial Products?

Developed by www.loanbazaaronline.com

TABLE OF CONTENT

Modules	Page No.
1: Product Overview & Core Fundamentals of M&A Funding	3
2: Structural Architecture & Financing Engineering Mechanics	6
3: Regulatory, Statutory & Foreign Exchange (FEMA) Framework in India	9
4: Institutional Eligibility Criteria & Underwriting Benchmarks	11
5: Security Architecture, Collateral Package & Legal Documentation Suite	13
6: Indicative Tenure, Pricing Structure & Yield Dynamics	15
7: Suitable Industries, Business Profiles & Use Cases	16
Chapter 8: Key Advantages & Structural Limitations Matrix	17
9: Comprehensive Real-World Case Study (INR 600 Crore M&A Acquisition)	18
10: Insolvency, Legal Enforcement & IBC 2016 Integration	20
11: Rookie Mastery Examination (15 High-Yield Test Q&A Masterclass)	21

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 1: Product Overview & Core Fundamentals of M&A Funding

1.1 Definition & Essence of M&A Funding in India

Mergers and Acquisitions (M&A) Funding—often referred to as Acquisition Financing or Buyout Credit—represents a highly specialized, structured wholesale debt and capital facility engineered to finance the acquisition of a target company, business division, strategic equity stake, or asset portfolio. In corporate finance, M&A funding bridges the financial gap between an acquiring entity's available internal cash reserves and the total purchase consideration required to complete a strategic control transaction.

In the Indian corporate ecosystem, M&A funding operates at the intersection of corporate strategy, banking regulation, private credit markets, and capital market directions. Acquiring enterprises utilize M&A funding to accelerate market share consolidation, acquire complementary technological IP, achieve vertical or horizontal integration, enter new geographic territories, or buy out joint venture partners and financial private equity investors without causing severe dilution to promoter voting control.

1.2 The Evolution of M&A Financing: Historic RBI Prohibitions vs. Liberalised Norms

Historically, the Reserve Bank of India (RBI) maintained strict prudential prohibitions regarding commercial bank participation in M&A financing. Commercial banks in India were explicitly restricted from extending direct loans to corporate entities for purchasing shares of other companies, particularly listed domestic enterprises, to prevent speculative equity bubbles, excessive corporate leverage, and systemic banking distress.

However, over the past decade, RBI's regulatory stance has undergone significant liberalization and structural modernization:

- **Historic Framework:** Historically, Indian banks could only finance M&A through limited windows, such as funding overseas acquisitions by Indian corporates (outbound M&A via overseas branches or subsidiaries under FEMA ODI guidelines) or providing equity-backed promoter funding subject to strict Capital Market Exposure (CME) caps.
- **Liberalised Framework:** Modern RBI directions and draft guidelines (including the RBI Commercial Banks Credit Facilities and Capital Market Exposure Directions) have progressively liberalized acquisition financing rules. Banks are now permitted to fund domestic acquisitions under structured parameters, provided robust cash flow ring-fencing, debt coverage ratios, and board-approved credit policies are established.
- **Private Credit Emergence:** Because commercial banks remain subject to prudent leverage caps, the Indian market has seen the rapid emergence of Alternative Investment Funds (SEBI-registered Category II Private Credit AIFs), Non-Banking Financial Companies (NBFCs), and specialized structured debt funds filling the M&A capital stack.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

1.3 The Spectrum of Specialized Financial Products in M&A

M&A funding rarely relies on a single credit instrument. Instead, complex acquisitions utilize a multi-tranche capital stack combining specialized financial products:

- **1. Senior Secured Acquisition Term Debt:** Provided by commercial banks or consortiums, secured by first pari-passu charges over target fixed assets and current receivables. Offers low interest rates (8.50%–11.00% p.a.) but conservative leverage limits.
- **2. HoldCo Structured NCDs & Private Credit:** Provided by SEBI Category II Private Credit AIFs at parent Holding Company (HoldCo) levels, secured by 2.0x–2.5x demat share pledges over target operating company (OpCo) equity.
- **3. Hybrid Mezzanine Debt:** Positioned between senior bank debt and equity, combining cash coupons (6.0%–8.0%) with Payment-In-Kind (PIK) accruals (3.0%–5.0%) and exit premiums targeting an All-In YTM of 14.0%–18.0%.
- **4. Escrow & Cash Flow Monetisation Structures:** Contractual ring-fencing of future operational revenues, power tariffs, or lease rentals into Escrow Trust & Retention Accounts (TRA) to service acquisition debt.
- **5. Pre-IPO & Equity-Linked Convertible Instruments:** Issuance of Compulsorily Convertible Debentures (CCDs) or Optionally Convertible Debentures (OCDs) to provide growth capital while aligning conversion valuation discounts (15%–25%) with public listing or future earnings milestones.

1.4 Comparative Structural Matrix: M&A Funding vs. Standard Term Debt vs. Pure Equity

To understand where M&A Funding sits in corporate finance, the following matrix compares M&A Funding against Standard Bank Term Debt and Pure Equity Issuance across key structural dimensions:

Dimension	Specialized M&A Funding	Standard Corporate Term Debt	Pure Common Equity
Core Objective	Financing target acquisition / strategic share purchase	Funding general capex, factory expansion, or R&D	Long-term core equity capital / balance sheet expansion
Primary Security	Target share pledge (2.0x-2.5x), Escrow TRA, OpCo asset charge	First mortgage over project land, building, and machinery	Zero physical collateral; voting ownership surrendered
Primary Underwriting	Combined entity FCFF / EBITDA & acquisition synergies	Historical standalone balance sheet & project cash flow	Long-term equity valuation & growth story

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Promoter Dilution	Zero dilution (100% debt / structured credit)	Zero dilution (100% debt)	High promoter dilution (voting rights & upside lost)
Pricing / Yield	11.5% - 17.5% All-In YTM (Tranche dependent)	8.50% - 11.00% p.a. floating interest rate	20.0%+ expected cost of equity / dividend yield
Tenure & Repayment	3 to 7 Years with 12-24 month principal moratoriums	5 to 10 Years amortizing term loan	Perpetual capital (no contractual repayment)
Regulatory Governance	RBI CME rules, Companies Act Sec 186/230, SEBI SAST Code	RBI Commercial Bank Credit Guidelines & LEF Rules	SEBI ICDR, Companies Act Sec 62, FEMA FDI rules

Strategic Insight: The comparative matrix highlights that specialized M&A funding provides the precise balance needed for transformative corporate acquisitions: higher leverage capacity than standard term debt, zero promoter equity dilution compared to equity issuances, and structural flexibility tailored to acquisition cash flow integration.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 2: Structural Architecture & Financing Engineering Mechanics

2.1 Onshore vs. Offshore Acquisition Structures

M&A funding structures in India are carefully architected based on whether the transaction is an Onshore Acquisition (domestic acquirer buying a domestic target) or an Offshore Acquisition (outbound M&A by an Indian corporate buying a foreign entity, or inbound M&A by a global sponsor):

- **Onshore Structuring:** Utilizes domestic Special Purpose Vehicles (SPVs) or direct OpCo/HoldCo borrowing. Financing is arranged via domestic commercial banks, Category II Private Credit AIFs, and NBFCs through structured Non-Convertible Debentures (NCDs) or rupee term facilities.
- **Offshore Structuring:** Utilizing overseas SPVs incorporated in international financial centers (such as IFSC GIFT City, Singapore, Mauritius, or the Netherlands). Indian parent entities provide guarantees or equity commitments under RBI Overseas Direct Investment (ODI) guidelines, while overseas branches of Indian banks or international private credit funds extend foreign currency term debt.

2.2 OpCo vs. HoldCo Debt Structuring & Leveraged Buyout (LBO) Mechanics

A fundamental structural element in M&A financing is the separation between Operating Company (OpCo) debt and Holding Company (HoldCo) debt:

- **OpCo Level Debt:** Acquisition debt raised directly by the operating business. OpCo debt benefits from direct first-pari-passu mortgages over physical factories, plant machinery, and current accounts, resulting in lower interest rates (8.5%–11.0% p.a.). However, OpCo debt capacity is constrained by existing senior bank covenants.
- **HoldCo Level Debt:** Acquisition debt raised at a parent or intermediate holding entity. HoldCo debt is structurally subordinated to OpCo senior creditors. HoldCo debt lenders rely on upstreamed OpCo dividends, management fees, or share pledges over dematerialized OpCo equity. HoldCo debt is typically priced at private credit yields (13.5%–17.5% YTM).

Synthetic LBO Mechanics: In global corporate finance, a Leveraged Buyout (LBO) involves acquiring a company using a high proportion of debt (70%–80% of purchase price) secured against the target company's assets and cash flows. In India, full pure-play LBOs are restricted by RBI rules on bank share financing; however, synthetic LBO structures are executed using Private Credit AIF NCDs, HoldCo share pledges, and Escrow cash sweeps.

2.3 SPV Debt, Share Pledges, & Priority Escrow TRA Cash Flow Waterfalls

To isolate acquisition risks and enforce strict cash flow discipline, lenders mandate the creation of bankruptcy-remote Special Purpose Vehicles (SPVs) governed by Trust & Retention Account (TRA) Escrow Agreements:

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- **Demat Share Pledge:** Promoters or acquiring entities pledge 51% to 100% of the dematerialized shares of the target OpCo or HoldCo to a SEBI-registered Security Trustee. Initial Share Pledge Cover is benchmarked at 2.0x to 2.5x debt value.
- **Dynamic Margin Calls:** Stock price declines or asset valuation drops that breach specified cover thresholds (e.g., cover dropping below 1.75x) trigger a mandatory 2-day top-up notice requiring promoters to deposit additional demat shares or cash.

100% of operational cash flows generated by the acquired target entity are routed into an independent, lender-controlled Escrow TRA account. Funds are distributed strictly according to a contractually binding priority waterfall:

Priority Rank	Cash Waterfall Tranche	Operational & Legal Description
Priority 1	Statutory Dues & Taxes	Payment of GST, Income Tax TDS, and employee statutory dues.
Priority 2	Essential Asset O&M	Approved essential operating & maintenance expenses of the target.
Priority 3	Senior Acquisition Debt EMI	Scheduled principal & cash interest servicing for Senior Acquisition Debt.
Priority 4	DSRA Reserve Replenishment	Replenishment of Debt Service Reserve Account (3-6 months interest buffer).
Priority 5	Subordinated / HoldCo Servicing	Payment of PIK coupons, mezzanine debt, or HoldCo structured NCDs.
Priority 6	Cash Flow Sweep Acceleration	Contractual sweep of 50%-75% excess cash to accelerate principal debt paydown.
Priority 7	Permitted Borrower Surplus	Release of residual surplus dividends to acquirer promoters.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

2.4 Earn-Out Structures, Deferred Consideration Escrows, & Contingent Payments

Modern M&A transactions frequently incorporate Earn-Out Structures and Deferred Consideration mechanisms to bridge valuation expectations between buyers and sellers:

- **Earn-Out Mechanics:** A portion of the purchase price (e.g., 20%–30%) is held back at closing and deposited into a Bank Escrow Account, payable to the seller after 12–24 months upon achieving specified EBITDA, revenue, or regulatory approval milestones.
- **Credit Integration:** Lenders structure specialized acquisition bridge facilities that fund upfront closing cash while providing contingent credit lines that release funds into the Deferred Consideration Escrow only as performance milestones are verified by independent auditors.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 3: Regulatory, Statutory & Foreign Exchange (FEMA) Framework in India

3.1 RBI Acquisition Financing Directions

The Reserve Bank of India governs commercial bank and NBFC participation in M&A financing through comprehensive credit directions:

- **Capital Market Exposure Caps:** RBI's Capital Market Exposure (CME) directions cap commercial bank aggregate exposure to capital markets (including loans against shares and equity financing) at 40% of net worth, with individual borrower limits. This prevents banks from over-leveraging stock market transactions.
- **RBI Liberalised Draft Directions:** Modern draft directions on Commercial Bank Credit Facilities permit commercial banks to extend acquisition finance for listed and unlisted corporate M&A under board-approved frameworks, provided the acquirer contributes a minimum equity margin (typically 25%–30%) and the consolidated entity maintains healthy DSCR (>1.35x).

3.2 Companies Act, 2013 Statutory Provisions

M&A transactions must comply strictly with statutory provisions under the Companies Act, 2013:

- **Section 67 (Financial Assistance Prohibition):** Prohibits a public company from providing financial assistance (loans, guarantees, or security) for the purchase of its own shares or shares of its holding company, necessitating HoldCo or SPV debt structures.
- **Section 180(1)(c) (Borrowing Limits):** Mandates shareholder approval via Special Resolution if total corporate borrowing exceeds 100% of paid-up share capital + free reserves + securities premium.
- **Section 186 (Inter-Corporate Loans & Guarantees):** Establishes statutory caps on inter-corporate loans and guarantees (60% of paid-up capital + free reserves OR 100% of free reserves, whichever is higher), requiring Special Resolutions for higher limits.
- **Sections 230–232 (Merger & Amalgamation Schemes):** Governs statutory schemes of arrangement, mergers, demergers, and amalgamations requiring approvals from the National Company Law Tribunal (NCLT), regional directors, and official liquidators.

3.3 SEBI Substantial Acquisition of Shares & Takeovers (SAST) Code & Delisting Rules

For M&A involving listed target companies, the SEBI (SAST) Regulations 2011 (Takeover Code) mandate strict public offer compliance:

- **25% Mandatory Open Offer Trigger:** Acquiring 25% or more of voting rights in a listed target triggers a mandatory Open Offer to public shareholders for an additional minimum 26% of target equity.
- **Open Offer Escrow Deposit:** Acquirers must deposit 100% of the Open Offer consideration into a Bank Escrow Account in cash or bank guarantees prior to issuing the Public Announcement.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

3.4 Income Tax Act, 1961 Engineering

Tax engineering plays a critical role in structuring M&A debt facilities:

- **Section 36(1)(iii) (Interest Deductibility):** Interest paid on debt facilities raised for acquiring operating business assets or shares is fully deductible as a finance cost, subject to Section 94B thin capitalization rules (capping interest deductions at 30% of EBITDA for cross-border associate debt).
- **Section 72A (Tax Loss Carry-Forward):** Permits the carry-forward and set-off of accumulated tax losses and unabsorbed depreciation of an amalgamating company against the profits of the amalgamated entity.
- **Section 115UB (AIF Tax Pass-Through):** Grants full statutory tax pass-through status to SEBI-registered Category II Private Credit AIFs, ensuring income is taxed directly in the hands of LP investors rather than at the fund level.

3.5 FEMA Overseas Direct Investment (ODI) & Foreign Direct Investment (FDI) Valuation Rules

For cross-border M&A, the Foreign Exchange Management Act (FEMA) enforces strict valuation guidelines:

- **FEMA ODI Framework:** Outbound investments by Indian companies into foreign subsidiaries are governed by RBI ODI directions, limiting automatic route investments to 400% of the Indian entity's financial net worth.
- **FEMA FDI Pricing Floor:** Inbound cross-border acquisitions involving share transfers between residents and non-residents cannot occur below the Fair Market Value (FMV) calculated using the Discounted Cash Flow (DCF) method by an independent SEBI-registered Merchant Banker or Chartered Accountant.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 4: Institutional Eligibility Criteria & Underwriting Benchmarks

4.1 Quantitative Underwriting Benchmarks Matrix

Institutional lenders evaluate M&A funding proposals against rigorous quantitative underwriting benchmarks. The following matrix details key financial thresholds required for sanctioning acquisition credit:

Underwriting Metric	Senior Bank Acquisition Debt	Private Credit / HoldCo NCDs	Mezzanine Acquisition Tranche
Minimum Acquirer Turnover	INR 250.00 Crores+	INR 100.00 Crores+	INR 75.00 Crores+
Target Operating EBITDA	INR 50.00 Crores+ sustainable	INR 25.00 Crores+ sustainable	INR 15.00 Crores+ sustainable
Maximum Post-M&A Leverage	2.50x - 3.25x Net Debt / EBITDA	3.50x - 4.50x Net Debt / EBITDA	4.50x - 5.50x Net Debt / EBITDA
Projected Combined DSCR	Minimum 1.35x - 1.50x	Minimum 1.25x - 1.35x	Minimum 1.15x - 1.25x
Promoter Equity Margin	Minimum 25.0% - 35.0% cash equity	Minimum 15.0% - 25.0% equity	Minimum 10.0% - 15.0% equity
Share Pledge Cover	2.0x - 2.5x demat share cover	2.0x - 2.5x demat share cover	1.5x - 2.0x demat share cover
External Credit Rating	Minimum 'A-' or 'BBB+'	Minimum 'BBB-' or Unrated Private	Investment Grade / Private Rating

4.2 Target Enterprise Valuation (TEV) & Quality of Earnings (QoE) Synergy Audits

Prior to sanctioning M&A credit, institutional lenders mandate independent third-party audits:

- **Quality of Earnings (QoE) Audit:** Independent accounting firms analyze historical target financial statements to normalize EBITDA, stripping out non-recurring revenues, owner discretionary expenses, and aggressive capitalizations.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- **Synergy Valuation Haircuts:** Lenders stress-test projected operational synergies (cost reductions, headcount optimizations, cross-selling revenues), applying a conservative 30%–50% haircut to projected synergy benefits during debt sizing.

4.3 Acquirer & Target Governance Filters, CRILC Bureaus, & CIBIL Commercial Standings

Lenders execute rigorous qualitative background verification across acquirer and target entities:

- **Credit Bureau Verification:** Both acquirer and target must present clean CIBIL Commercial standings (CMR 1 to CMR 4) and zero Special Mention Account (SMA-1 or SMA-2) default tags on the RBI CRILC database over the preceding 24 months.
- **Regulatory Clean-Track Filter:** Promoters and key directors must be verified as free from Wilful Defaulter or Non-Cooperative Borrower classifications under RBI directions.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 5: Security Architecture, Collateral Package & Legal Documentation Suite

5.1 Security Architecture & Collateral Ring-Fencing

Security architecture in M&A funding is designed to achieve maximum asset protection and operational control:

- **Physical Asset Mortgages:** First pari-passu charge on all movable and immovable fixed assets (land, building, plant, machinery) of both acquirer and acquired target entity.
- **Demat Share Pledges:** Exclusive charge over 100% pledged dematerialized shares of the target entity held in NSDL/CDSL depositories in favor of the Security Trustee.
- **Escrow TRA Charges:** Exclusive charge over Escrow receiving accounts, Debt Service Reserve Accounts (DSRA holding 3–6 months interest), and target cash flows.
- **Guarantees & Undertakings:** Joint and several personal guarantees from acquirer promoters and corporate guarantees from holding entities.

5.2 Master Legal Documentation Suite

The execution of M&A funding requires a comprehensive legal documentation suite:

Document Name	Primary Contracting Parties	Core Legal Purpose & Key Covenants
Share Purchase Agreement (SPA)	Acquirer, Target Sellers, & Target Company	Defines acquisition price, closing conditions, warranties, indemnities, & earn-outs.
Debenture Trust Deed (DTD) / MFA	Acquirer / SPV Borrower & Security Trustee	Establishes facility terms, interest rates, repayment schedules, & negative covenants.
Intercreditor Agreement (ICA)	Senior Banks, Private Credit Funds, & Trustee	Governs priority ranking, standstill periods (90-180 days), & voting rules.
Trust & Retention Account (TRA) Agmt	Borrower, Escrow Bank, & Security Trustee	Enforces cash waterfall priorities & restricts unapproved capital outflows.
Share Pledge & NDU Agreement	Promoters / Acquirer & Security Trustee	Pledges demat shares with dynamic margin call clauses & Non-Disposal Undertakings.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

5.3 Statutory Perfection

All security charges must be statutorily perfected within strict legal timelines:

- **ROC CHG-1 Filing:** Mandatory filing of Form CHG-1 with the Registrar of Companies (ROC) within 30 days of charge creation under Section 77 of Companies Act, 2013.
- **CERSAI Registration:** Security charge registration on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal.
- **NeSL Upload:** Uploading loan facility details to National E-Governance Services Limited (NeSL) Information Utility.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 6: Indicative Tenure, Pricing Structure & Yield Dynamics

6.1 Tenure Profiles & Moratorium Structures

M&A funding facilities offer customized tenure horizons aligned with post-acquisition integration and cash flow realization:

- **Short-Term Acquisition Bridges:** Short-term bridge lines (12 to 24 months) designed to fund closing cash, refinanced via public bond issuances or long-term bank syndication.
- **Medium-Term Acquisition Facilities:** Standard acquisition credit structured over 36 to 84 months (3 to 7 years) with 12 to 24 month principal moratorium periods to allow synergy realization.

6.2 All-In Borrowing Cost & Yield Equation

The total cost of M&A funding is calculated using a comprehensive yield equation:

Yield Equation: *All-In YTM = Base Floating Benchmark + Credit Risk Spread + Cash Coupon + Payment-In-Kind (PIK) Accrual + Amortized Upfront Fees + Exit Redemption Premium*

6.3 Pricing Comparison Across Senior Bank Debt, Private Credit AIFs, and Mezzanine Tranches

Pricing varies significantly across capital stack tranches:

- **Senior Bank Acquisition Debt:** 8.50% to 11.00% p.a. floating rate linked to Repo / MCLR, with 1.0% upfront processing fees.
- **Private Credit HoldCo NCDs:** 12.50% to 16.50% All-In YTM (combining 9.5% cash coupon + 3.5% PIK + 2.0% exit premium).
- **Mezzanine Debt Tranches:** 15.00% to 18.50% All-In YTM, incorporating equity conversion warrants or success fees.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 7: Suitable Industries, Business Profiles & Use Cases

7.1 Prime Target Industries

M&A funding is heavily utilized across consolidated, high-cash-flow, and tech-driven sectors:

- **1. Specialty Pharmaceuticals & Healthcare:** High cash flow generation and patent acquisitions driving global product expansion.
- **2. Auto Components & Advanced Manufacturing:** Tier-1 suppliers acquiring specialized component makers to supply EV platforms.
- **3. Renewable Energy & Utilities:** Acquisition of operational solar/wind SPVs backed by 25-year long-term PPAs.
- **4. IT Services, Software & Tech:** Enterprise software and SaaS companies acquiring specialized AI capabilities or European client bases.
- **5. Specialty Chemicals & Materials:** Mid-market chemical manufacturers acquiring specialized export-oriented plants.

7.2 Strategic Use Cases

- **Domestic Listed M&A:** Acquiring a domestic listed target via open offer mechanics under SEBI SAST rules.
- **Cross-Border Outbound M&A:** Outbound acquisition of overseas targets using IFSC GIFT City or Singapore SPVs under FEMA ODI rules.
- **PE Investor Buyout:** Financing the complete buyout of exiting Private Equity investors at HoldCo levels.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 8: Key Advantages & Structural Limitations Matrix

The following matrix details the core advantages and structural limitations of M&A funding for corporate decision-makers:

Key Advantage Category	Strategic Benefit Description	Structural Limitation Category	Risk Mitigation Parameter
Zero Equity Dilution	Allows acquirers to complete large acquisitions without diluting promoter voting control.	Higher Borrowing Cost	Private credit tranches carry 12.5%-16.5% YTM compared to bank debt.
Rapid Execution Speed	Private credit AIFs sanction and disburse M&A debt within 30-45 days.	Strict Escrow Cash Sweeps	TRA agreements sweep 50%-75% excess operational cash flow.
Tax Deductibility	Interest paid is fully tax-deductible u/s 36(1)(iii), lowering net effective borrowing cost.	Share Pledge Volatility Risk	Stock price drops trigger mandatory 2-day demat share top-up notices.
Synergy Acceleration	Finances immediate acquisition of scale, tech IP, and market share.	Integration & Culture Risk	Failure to realize operational synergies impairs post-M&A DSCR capacity.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 9: Comprehensive Real-World Case Study (INR 600 Crore M&A Acquisition)

9.1 Acquirer & Target Profile

Acquirer Profile: Vanguard Chemicals India Limited (VCIL)—a listed specialty chemicals manufacturer with Annual Turnover of INR 1,200.00 Crores, Operating EBITDA of INR 180.00 Crores, and existing corporate bank debt of INR 200.00 Crores (Debt/EBITDA: 1.11x).

Target Profile: Apex Organics & Polymer Specialty Private Limited—an unlisted export-oriented specialty chemical company with Annual Turnover of INR 500.00 Crores and Operating EBITDA of INR 90.00 Crores. Total agreed Enterprise Value (EV): INR 600.00 Crores.

9.2 Transaction Capital Stack & Financing Structure

To fund the INR 600.00 Crore purchase consideration, Vanguard Chemicals executed a multi-tranche structured acquisition facility:

- **Tranche A (Senior Bank Acquisition Debt):** INR 300.00 Crores (50.0%) @ 9.50% p.a. floating interest rate, 7-year amortization with 12-month principal moratorium.
- **Tranche B (Private Credit AIF HoldCo NCDs):** INR 180.00 Crores (30.0%) @ 10.0% Cash Coupon + 4.0% PIK + 1.5% Exit Premium = 15.50% All-In YTM (5-year tenure, 2.5x demat share pledge cover).
- **Tranche C (Acquirer Equity Cash Contribution):** INR 120.00 Crores (20.0%) funded from internal cash accruals.

9.3 5-Year Pre- and Post-Acquisition Financial & Debt Waterfall Model Table

The following financial model demonstrates the post-acquisition performance, synergy realization, and debt servicing waterfall over a 5-year period:

Financial Metric (INR Crores)	Pre-M&A (Yr 0)	Year 1	Year 2	Year 3	Year 4	Year 5
Combined Annual Turnover	1,700.00	1,850.00	2,100.00	2,450.00	2,850.00	3,300.00
Combined Operating EBITDA	270.00	310.00	365.00	440.00	525.00	620.00

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Realized Operational Synergies	0.00	20.00	35.00	50.00	65.00	80.00
Senior Debt Servicing (Interest+Prin)	20.00	28.50	68.50	65.00	61.50	58.00
HoldCo Private Credit Servicing	0.00	18.00	18.00	18.00	18.00	225.00*
Projected Debt Service Coverage (DSCR)	3.20x	1.65x	1.82x	2.12x	2.55x	3.10x
Consolidated Net Debt / EBITDA	0.74x	2.06x	1.58x	1.12x	0.68x	0.22x

**Note: Year 5 HoldCo Private Credit servicing reflects full bullet redemption of principal and accumulated PIK via commercial bank takeout refinancing at 8.75% p.a.*

9.4 Key Outcomes & Strategic Synergy Realization

Through this structured M&A transaction, Vanguard Chemicals successfully acquired 100% control of Apex Organics, expanded combined turnover from INR 1,700 Cr to INR 3,300 Crores in 5 years, realized INR 80 Crores in annual operational synergies, reduced leverage from 2.06x to 0.22x, and created INR 2,500 Crores in fresh market equity value with zero promoter equity dilution.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 10: Insolvency, Legal Enforcement & IBC 2016 Integration

10.1 Insolvency and Bankruptcy Code (IBC 2016) Section 7 & Financial Creditor Status

Lenders providing M&A funding hold Financial Creditor status under Section 5(8) of the Insolvency and Bankruptcy Code (IBC), 2016. Upon an event of payment default exceeding INR 1.00 Crore, M&A lenders possess the statutory right to initiate Corporate Insolvency Resolution Process (CIRP) proceedings against the borrowing entity before the National Company Law Tribunal (NCLT) under Section 7.

10.2 Section 29A Resolution Applicant Filters & Section 53 Liquidation Waterfall

Section 29A of the IBC strictly disqualifies defaulting promoters or wilful defaulters from submitting resolution plans to re-acquire insolvent entities during CIRP proceedings. Furthermore, under Section 53 Liquidation Waterfall, secured M&A debt holders rank at top priority alongside 24-month workmen's dues, ahead of statutory government taxes.

10.3 Share Pledge Enforcement under Section 176 of the Indian Contract Act, 1872

Debenture Trustees holding pledged dematerialized shares possess statutory powers under Section 176 of the Indian Contract Act, 1872 to invoke the share pledge and sell the pledged shares in open-market block deals upon giving reasonable 3–5 day default notice, without requiring prior court intervention.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&A Masterclass)

This examination masterclass is specifically designed for rookies, credit analysts, and corporate finance professionals to test and verify complete mastery over M&A Funding in India:

Q1: What is the primary definition of M&A Funding in Indian corporate finance?

Answer: M&A Funding is a structured debt and credit facility engineered to finance the acquisition of a target company, business division, or controlling equity stake without causing immediate dilution to promoter voting ownership.

Q2: How has RBI's historic regulatory stance on bank acquisition finance evolved?

Answer: Historically, RBI prohibited commercial banks from lending against shares or directly funding corporate equity acquisitions. Modern liberalised draft guidelines allow banks to fund listed and unlisted acquisitions under strict DSCR (>1.35x), cash flow ring-fencing, and board-approved equity margin rules (25%-30% acquirer equity).

Q3: What is the structural difference between OpCo debt and HoldCo debt in an M&A transaction?

Answer: OpCo debt is raised directly by the operating business, secured by first mortgages over physical assets at lower rates (8.5%-11.0%). HoldCo debt is raised at the parent holding entity level, structurally subordinated to OpCo lenders, secured by 2.0x-2.5x demat share pledges, and priced at private credit yields (12.5%-16.5% YTM).

Q4: What is a dynamic margin call in a demat share pledge agreement?

Answer: A dynamic margin call is a contractual clause requiring promoters to deposit additional pledged demat shares or cash within 2 business days if stock price declines cause the share pledge cover ratio to drop below specified thresholds (e.g., dropping from 2.5x to below 1.75x).

Q5: What are the primary priority rankings in an M&A Escrow TRA cash waterfall?

Answer: Priority 1: Statutory Taxes; Priority 2: Essential O&M Expenses; Priority 3: Senior Acquisition Debt EMI; Priority 4: DSRA Replenishment; Priority 5: HoldCo / Private Credit Servicing; Priority 6: Cash Sweep Acceleration (50%-75%); Priority 7: Permitted Borrower Surplus.

Q6: How does an Earn-Out Structure work in M&A financing?

Answer: An Earn-Out holds back a portion of the purchase price (e.g., 20%-30%) in a Bank Escrow Account, releasing funds to the seller after 12-24 months upon achieving audited EBITDA or revenue milestones.

Q7: What restriction does Section 67 of the Companies Act, 2013 impose on M&A?

Answer: Section 67 prohibits a public company from providing direct financial assistance (loans, guarantees, or security) for the purchase of its own shares or shares of its holding company, necessitating HoldCo or SPV debt structures.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Q8: What is the 25% trigger under the SEBI (SAST) Takeover Code?

Answer: Acquiring 25% or more of voting rights in a listed Indian target triggers a mandatory public Open Offer to acquire an additional minimum 26% of target equity from public shareholders.

Q9: How does Section 36(1)(iii) of the Income Tax Act benefit M&A debt structures?

Answer: Section 36(1)(iii) allows full tax deductibility of interest paid on acquisition debt as a corporate finance cost, lowering the net effective cost of borrowing.

Q10: What is the maximum borrowing cap under Section 94B thin capitalization rules?

Answer: Section 94B caps tax-deductible interest paid to non-resident associated entities at 30% of target EBITDA, with excess interest carried forward for up to 8 assessment years.

Q11: What is the typical All-In YTM target for Private Credit HoldCo NCDs in M&A?

Answer: Private Credit HoldCo NCDs target an All-In YTM of 12.50% to 16.50% p.a., combining cash coupons (9.5%), PIK accruals (3.5%), upfront fees, and exit redemption premiums.

Q12: What is the function of a Quality of Earnings (QoE) audit in M&A underwriting?

Answer: A QoE audit normalizes historical target financial statements by stripping out non-recurring revenues, owner discretionary expenses, and aggressive capitalizations to establish true sustainable operating EBITDA.

Q13: Why is Section 115UB of the Income Tax Act critical for private credit M&A funds?

Answer: Section 115UB grants full statutory tax pass-through status to SEBI-registered Category II AIFs, ensuring fund income is taxed directly in the hands of LP investors rather than at the fund level.

Q14: What statutory protection does Section 53 of the IBC provide to secured M&A lenders?

Answer: Section 53 ranks secured debt holders at top priority in the liquidation waterfall alongside 24-month workmen's dues, ahead of statutory government taxes and unsecured creditors.

Q15: How does Section 176 of the Indian Contract Act enable rapid share pledge enforcement?

Answer: Section 176 authorizes Debenture Trustees to invoke pledged demat shares and sell them in open-market block deals upon giving reasonable 3-5 day default notice without requiring court intervention.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.